

Using median wage mitigates outlier effects, improving OLS reliability. Interaction terms also reduces linearity assumptions by allowing education returns to vary by level - tertiary vs primary school. This offers a more nuanced wage-education relationship.

However, the paper disregards the effect of the endogenous variable of education where IQ may have an upward bias on the OLS estimator for education as mentioned in lectures, citing other papers that omitted variables is not significant. Since other papers have proved that the OVB is insignificant, I feel the paper is good.